Practice workbook · Oligopoly: features, collusion and effects

A few large firms dominating; differentiated products, barriers to entry, interdependence, price and non-price competition; collusion and cartels; effects on consumers and firms.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-15

1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

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4 Figure 4 shows profit for a firm between 2021 and 2023.

Year	Profit ($)
2021	211 600
2022	213 700
2023	214 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

The market for petrol in Uganda has five main companies, each with a distinctive logo and colours representing its brand. These companies benefit considerably from barriers to entry, due to very high set-up costs.

Each company offers something different to stand out from its competitors. Vivo Energy offers excellent customer service. Total Energies aims to improve its impact on the environment. Nile Energy has a reputation for modern facilities. Hass Petroleum uses a loyalty card to retain customers and Stabex International focuses on having motivated employees.

(b) With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly.

(6)

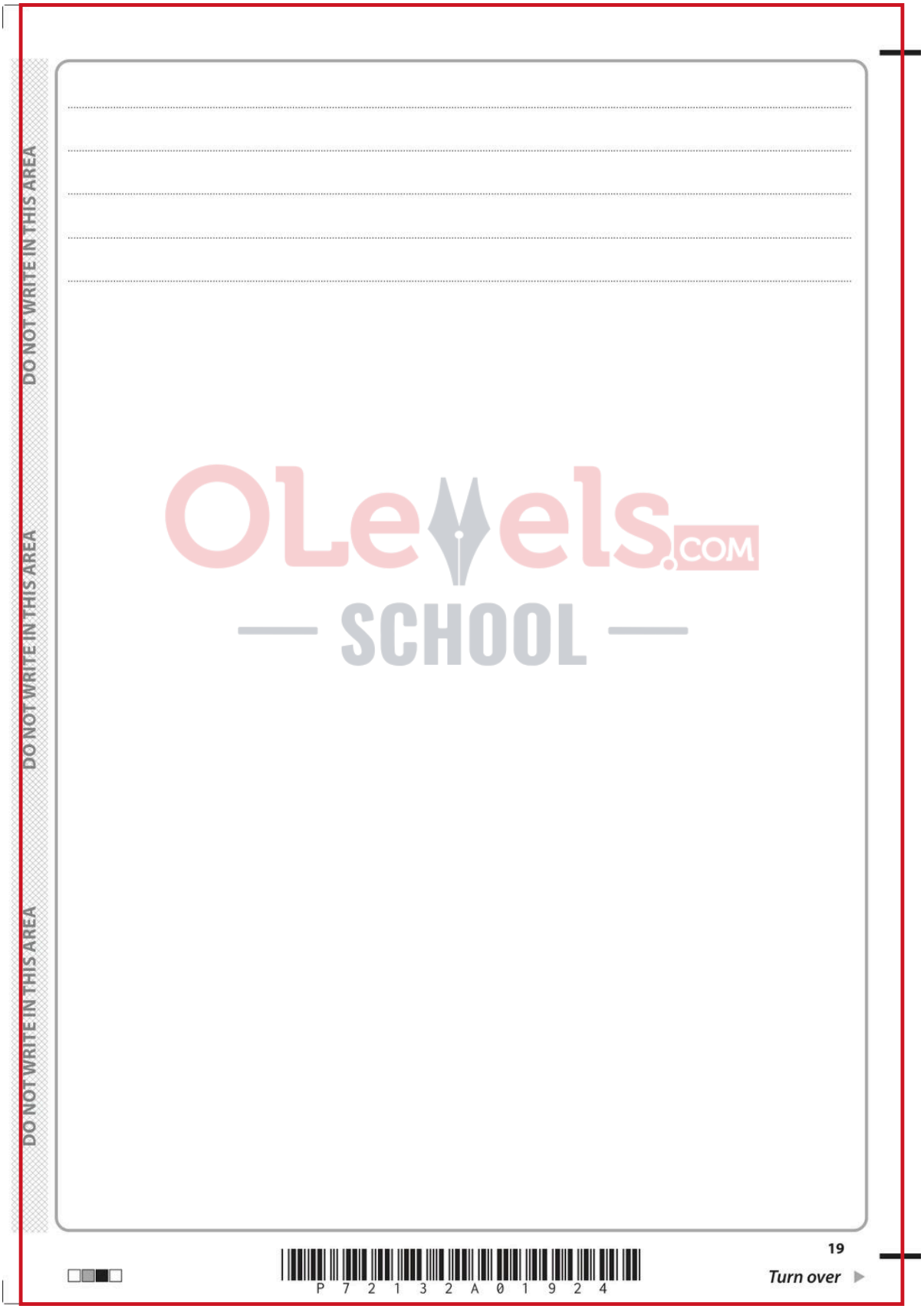
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1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

Řešení has been a successful accountancy firm in Brno, Czechia, since it began in 2007. The firm employs a small team of highly qualified accountants. They manage the financial needs of its customers, which are both established and new businesses. The accountants are usually very busy due to the excellent reputation the firm has achieved.

The Managing Director, Daniella, is considering expanding the firm. She would like to open another office in Prague, the capital of Czechia. Approximately 12% of Czechia's businesses are located in Prague compared to only 3.5% in Brno, which is over 200 km away.

Even though there would be more competition from other accountancy firms in Prague, the average price of goods and services in the capital is more expensive, enabling Řešení to charge a higher price for its services.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

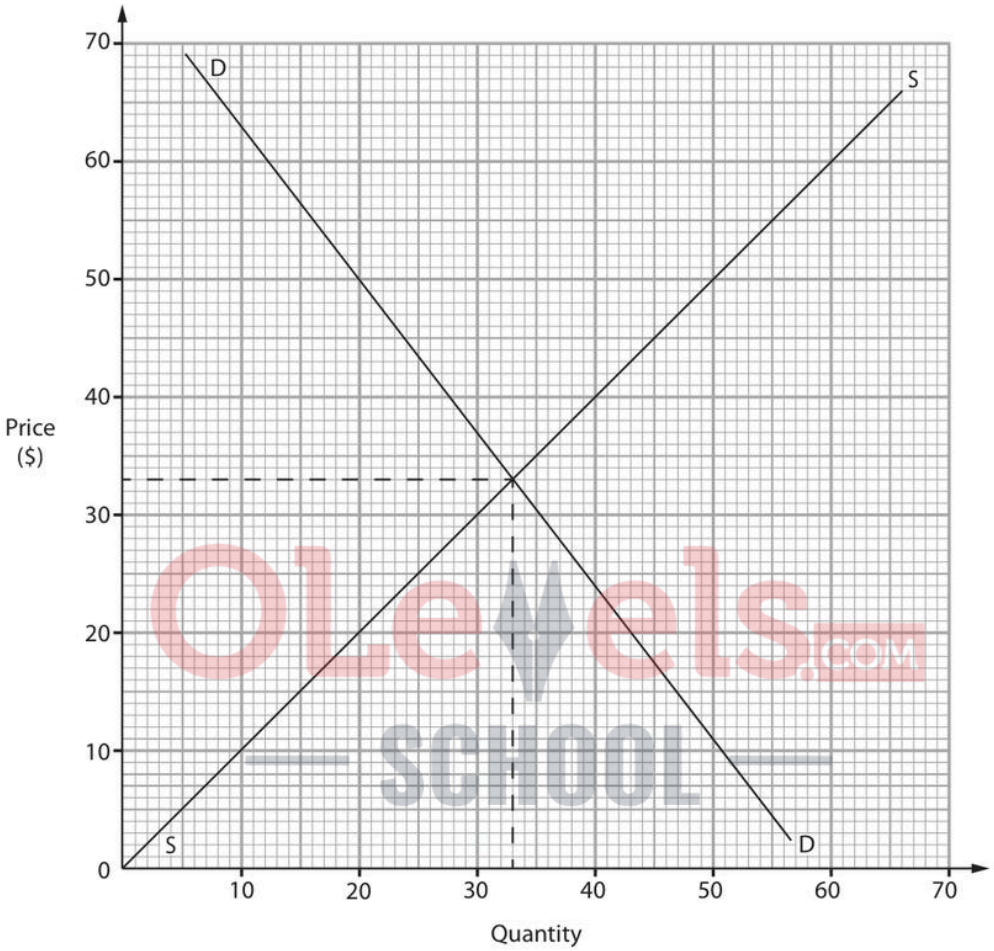


Figure 6

(a) Using the information in Figure 6, calculate the excess supply of goods in the market at a price of $50. You are advised to show your working.

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

Competition and Markets Authority warns online sellers about collusion

The Competition and Markets Authority (CMA) is a UK government department that aims to increase competition. It has reminded online sellers of electrical equipment that collusion is illegal and can result in serious penalties. The CMA stated that buying electrical equipment online, such as laptops and games consoles, means consumers can search a wide range of deals from many different sellers. However, it also stated that collusion is a threat.

(Source: adapted from © Crown Copyright)

(b) With reference to the data above and your knowledge of economics, analyse why collusion may be a disadvantage for online consumers buying electrical equipment.

(6)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

Figure 7 shows the market share of supermarkets in the Netherlands in 2017.

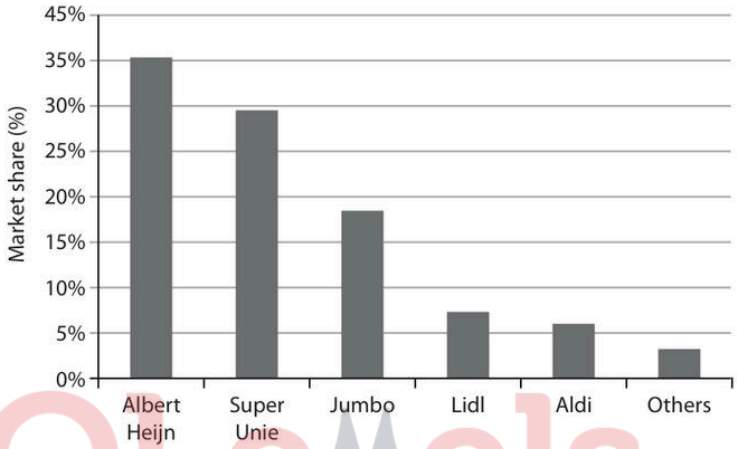


Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate how firms might be influenced by competing in an oligopoly, such as supermarkets in the Netherlands.

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3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

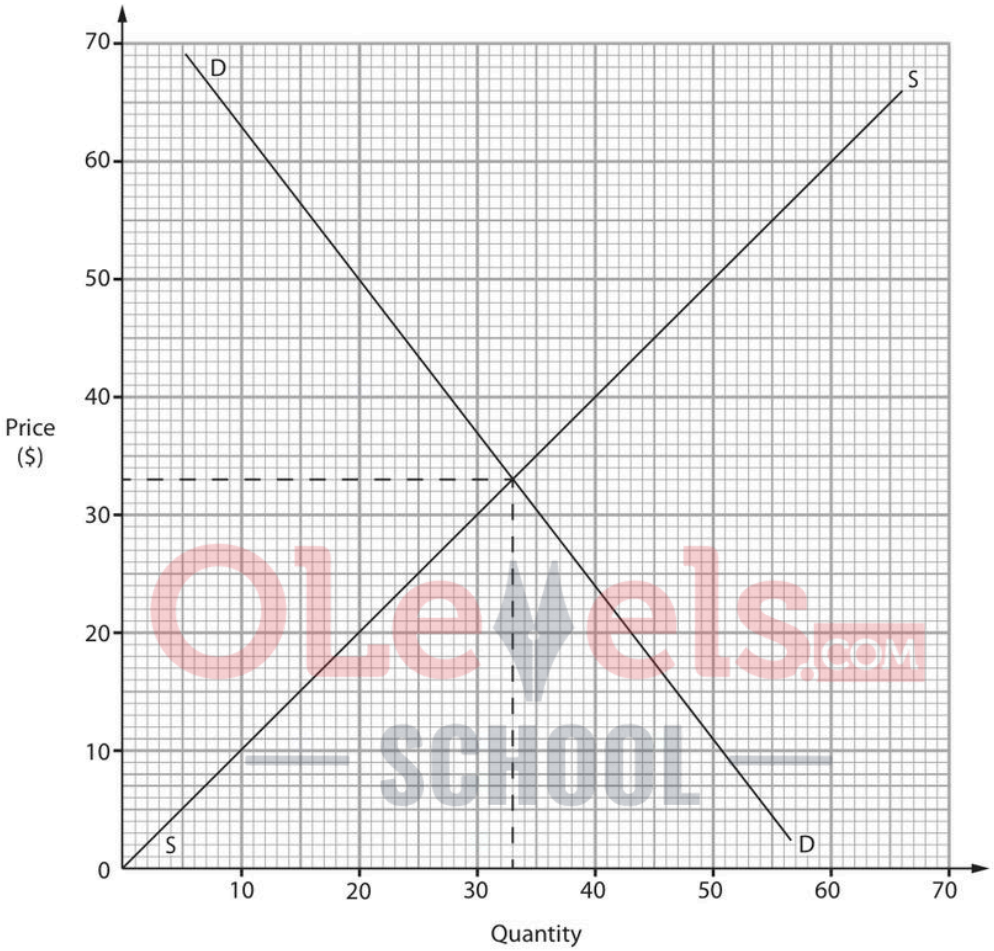


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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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Competition and Markets Authority warns online sellers about collusion

The Competition and Markets Authority (CMA) is a UK government department that aims to increase competition. It has reminded online sellers of electrical equipment that collusion is illegal and can result in serious penalties. The CMA stated that buying electrical equipment online, such as laptops and games consoles, means consumers can search a wide range of deals from many different sellers. However, it also stated that collusion is a threat.

(Source: adapted from © Crown Copyright)

(b) With reference to the data above and your knowledge of economics, analyse why collusion may be a disadvantage for online consumers buying electrical equipment.

(6)

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

Figure 7 shows the market share of supermarkets in the Netherlands in 2017.

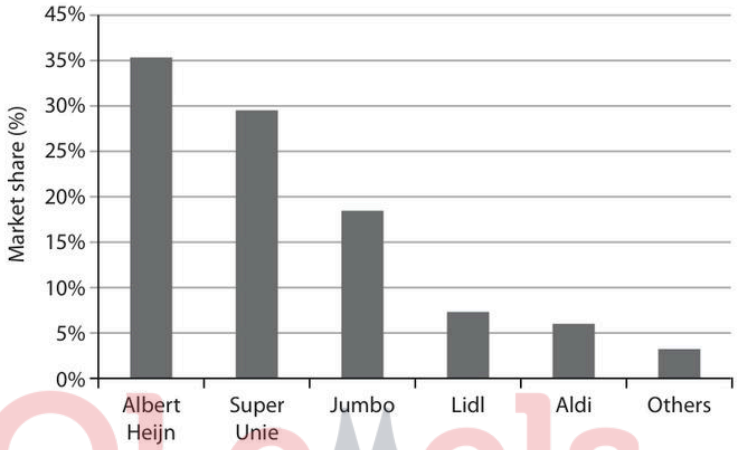


Figure 7

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(12)

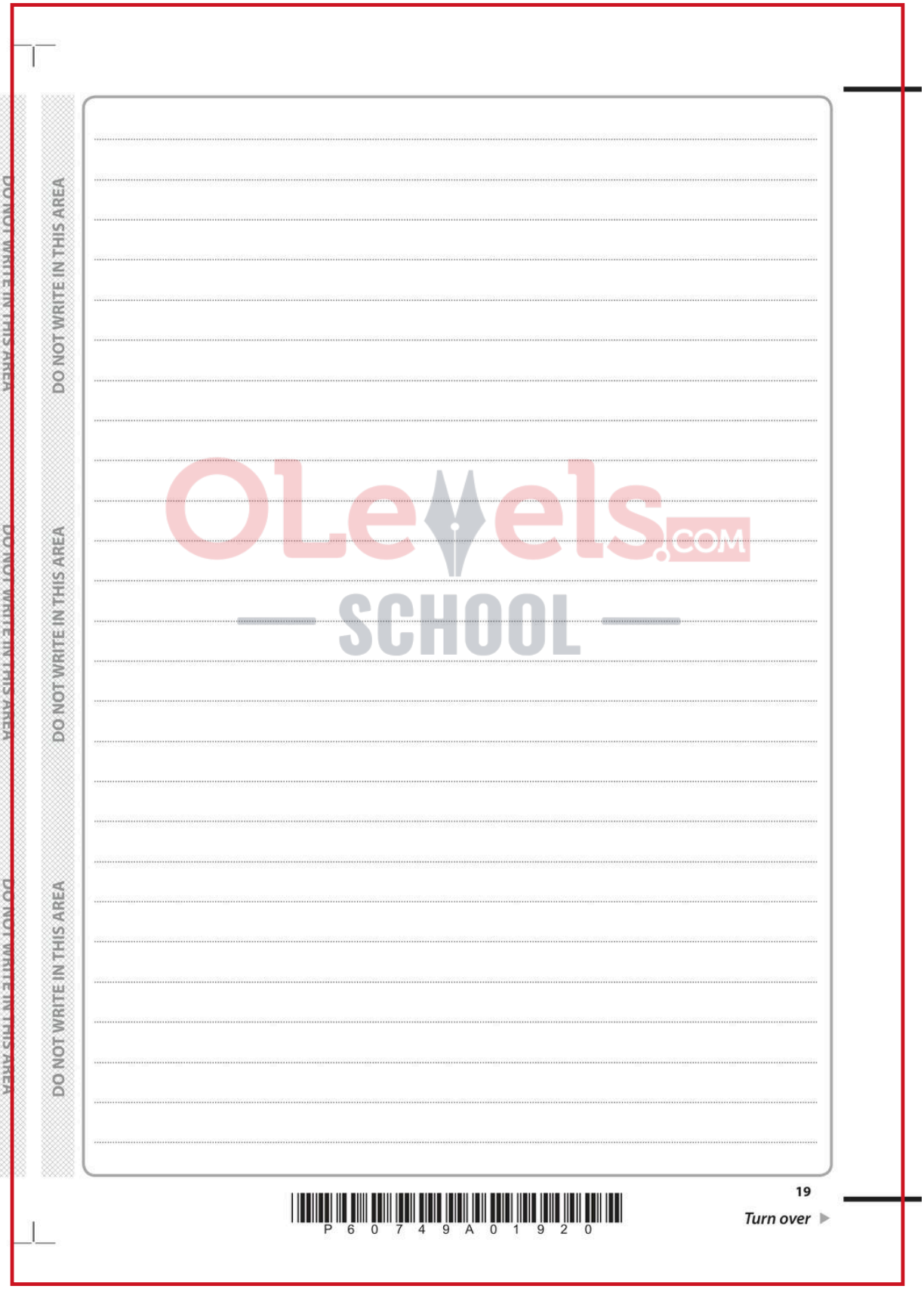
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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

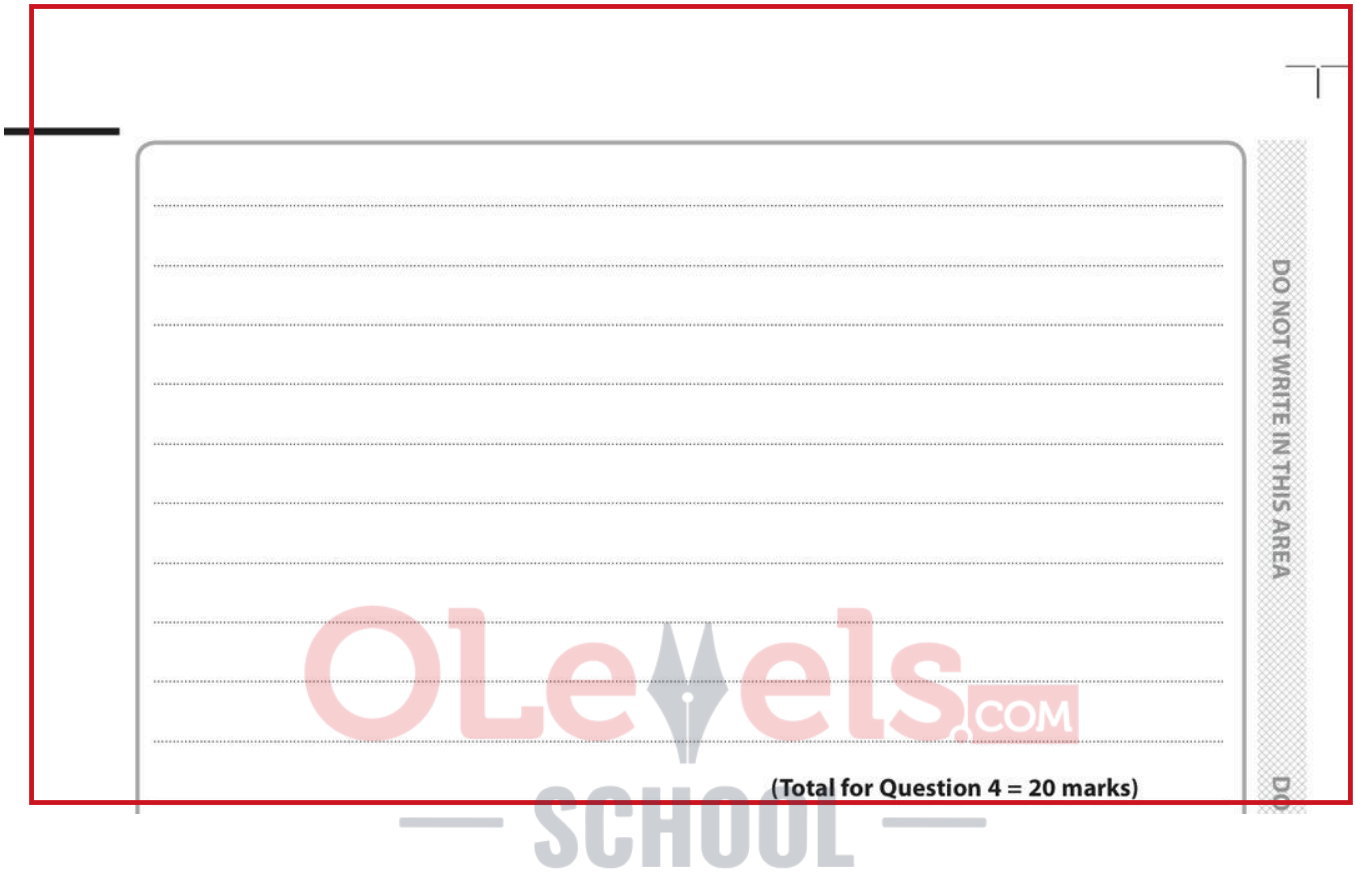
Further practice · Attempt part c only.



4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

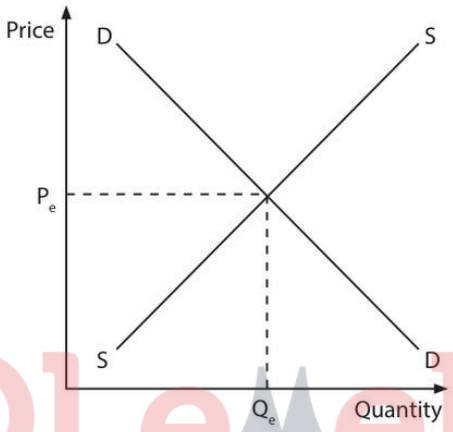


Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

In the UAE, 87% of Dubai's shopping malls are owned by just five firms. The retail sector is predicted to reach $71bn in sales by 2021 and employ 25% of Dubai's workforce. Each shopping mall offers something different to customers, for example an indoor ski slope or an indoor aquarium. Dubai's retailers benefit from its tourism sector, as the city ranks as one of the busiest shopping destinations in the world.

(Source adapted from: https://wwd.com/business-news/technology/savant-data-systems-dubai-retail-report-10956883/)

(i) With reference to the data above and your knowledge of economics, analyse why the shopping malls in Dubai are considered to be an oligopoly.

(6)

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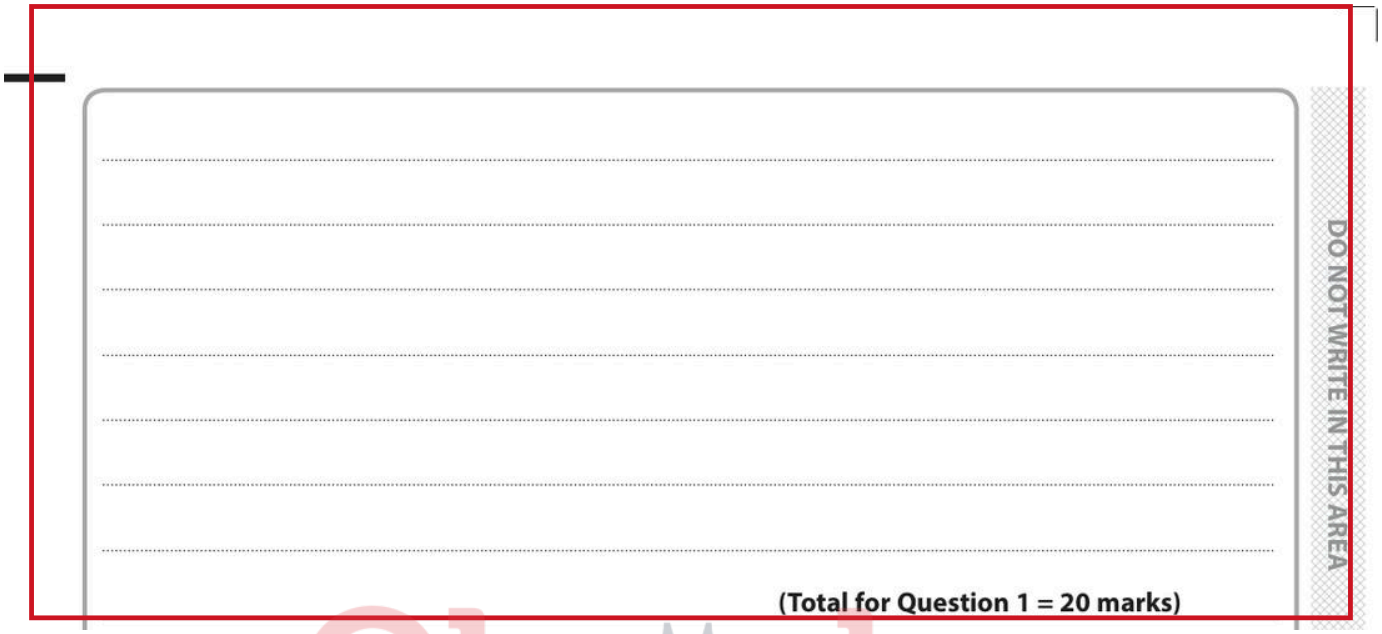
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Turn over

5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.



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5. Question 1 · part i · 6 marks · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

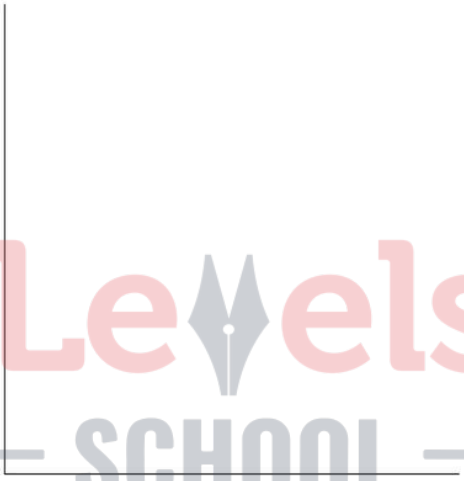


Figure 2

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

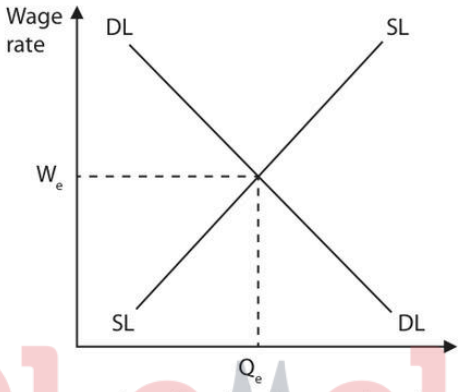


Figure 5

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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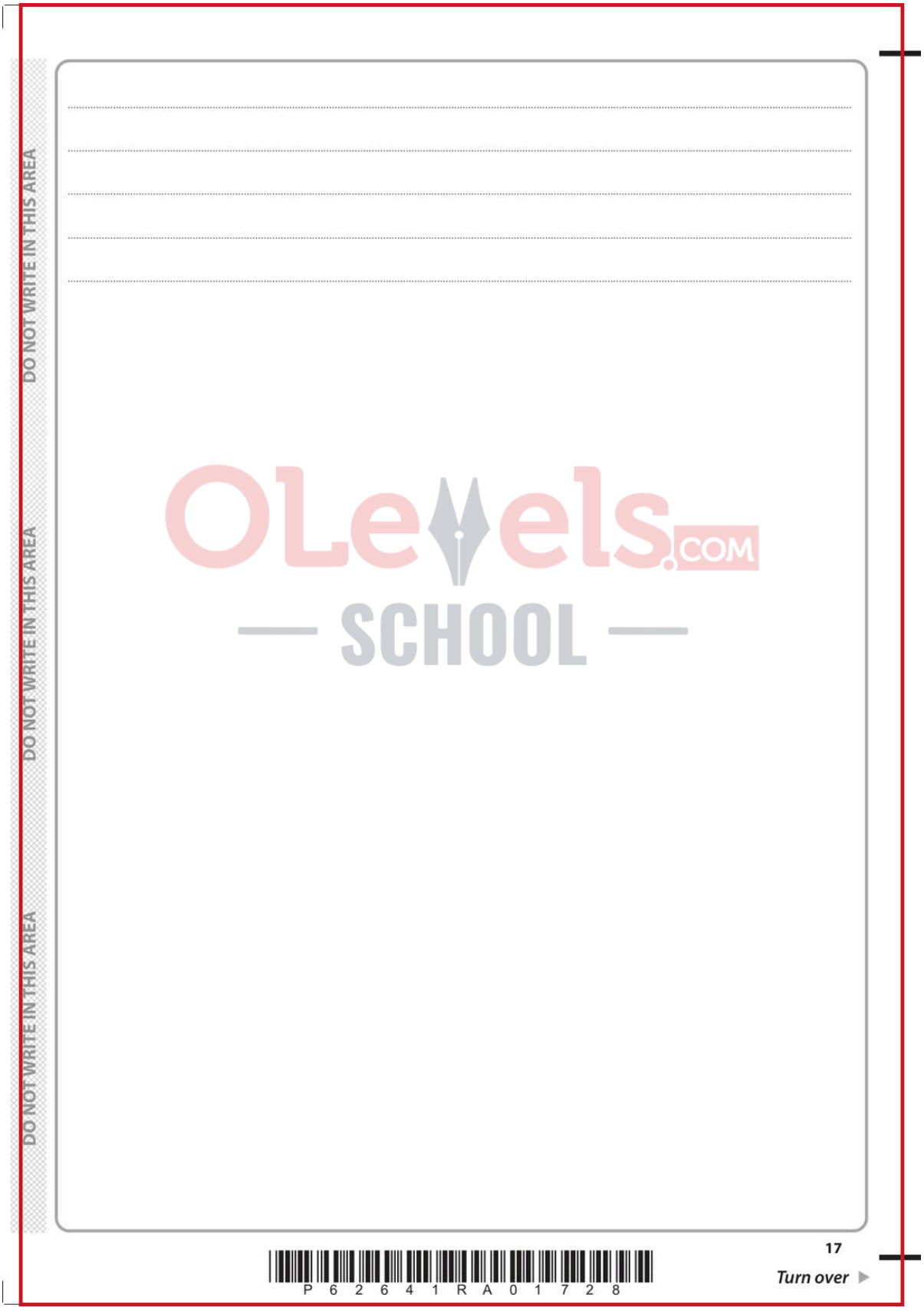
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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.



7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

More than half of Cambodia's 6,000 km of roads have been classified as 'of poor quality' by the Ministry of Public Works and Transport. As business grows in the country, drivers overload their trucks, which leads to safety issues and greater damage to the roads. A higher level of investment is needed from the government to repair damage and to build new roads which would need less maintenance.

(Source adapted from: http://www.phnompenhpost.com/business/cambodia-facing-dilemma-plan-give-roads-facelift)

(e) With reference to the data above and your knowledge of economics, assess the extent to which high levels of public sector investment to improve the roads may benefit the Cambodian economy.

(9)

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18

P 6 2 6 4 1 R A 0 1 8 2 8

7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

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4 Figure 4 shows profit for a firm between 2017 and 2019.

Year	Profit ($)
2017	80 750
2018	83 550
2019	87 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** between 2017 and 2019, for the firm. You are advised to show your working.

(2)

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8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

Trekking is a very popular activity for tourists in Nepal. In the main tourist town of Pokhara, there are a few large firms that offer guides, porters and resources. Some smaller firms specialise in taking customers on less popular routes, whereas others offer guides who speak different languages. It is difficult for new competitors to set up in Pokhara, as expensive permits are required.

(b) With reference to the data above and your knowledge of economics, analyse why the market for trekking in Pokhara could be described as an oligopoly.

(6)

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8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

State-owned airline, Air India, currently offers a high number of domestic flights from both Mumbai and New Delhi. It also flies to destinations worldwide, including the US and Europe. However, it has reduced the number of countries it flies to, especially in other parts of Asia and Africa.

The Indian Government has announced plans to sell all its shares in the airline. Air India had been making a loss and struggling to pay oil companies for its fuel. However, the government reduced almost half of this debt before making the announcement to sell the airline.

(c) With reference to the data above and your knowledge of economics, evaluate whether Air India is likely to benefit from privatisation.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Figure 3 shows the demand for cocoa beans during 2019.

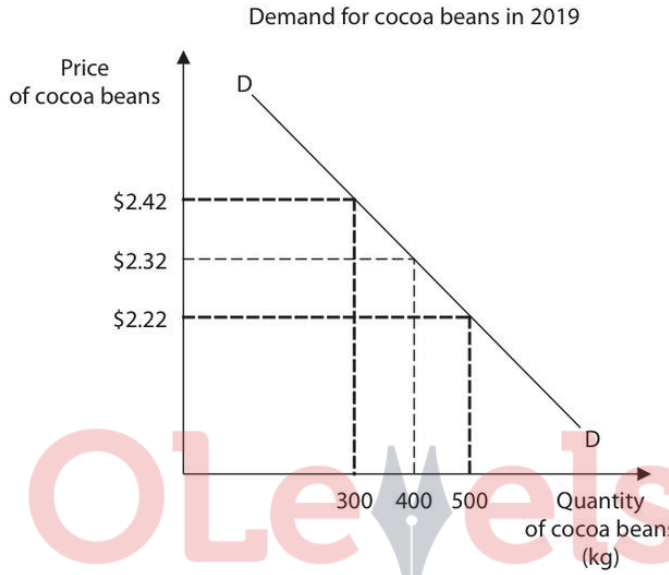


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

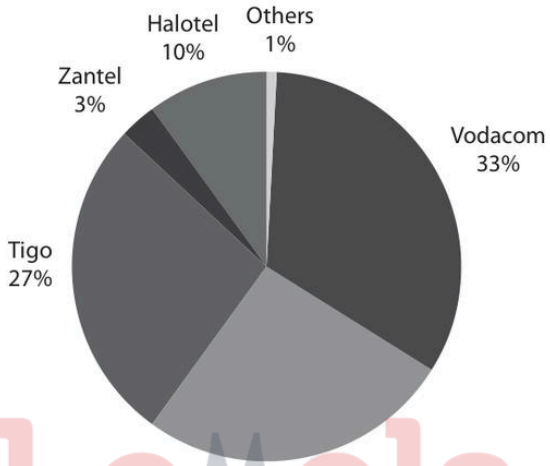
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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Market share of telecom subscriptions in Tanzania (June 2019)



(Source adapted from: https://www.tanzaniainvest.com/telecoms/tanzania-add-50000-mobile-subcriptions-in-6-months)

Figure 4

In November 2019, two Tanzanian telecoms firms, Zantel and Tigo, merged. Smart Telecoms, a small firm with a declining market share, stopped trading. A spokesperson said that Smart Telecoms could no longer compete with the increasing dominance of larger firms in the market.

(h) With reference to the data above and your knowledge of economics, assess whether the oligopoly in the Tanzanian telecoms market is likely to benefit consumers.

(9)

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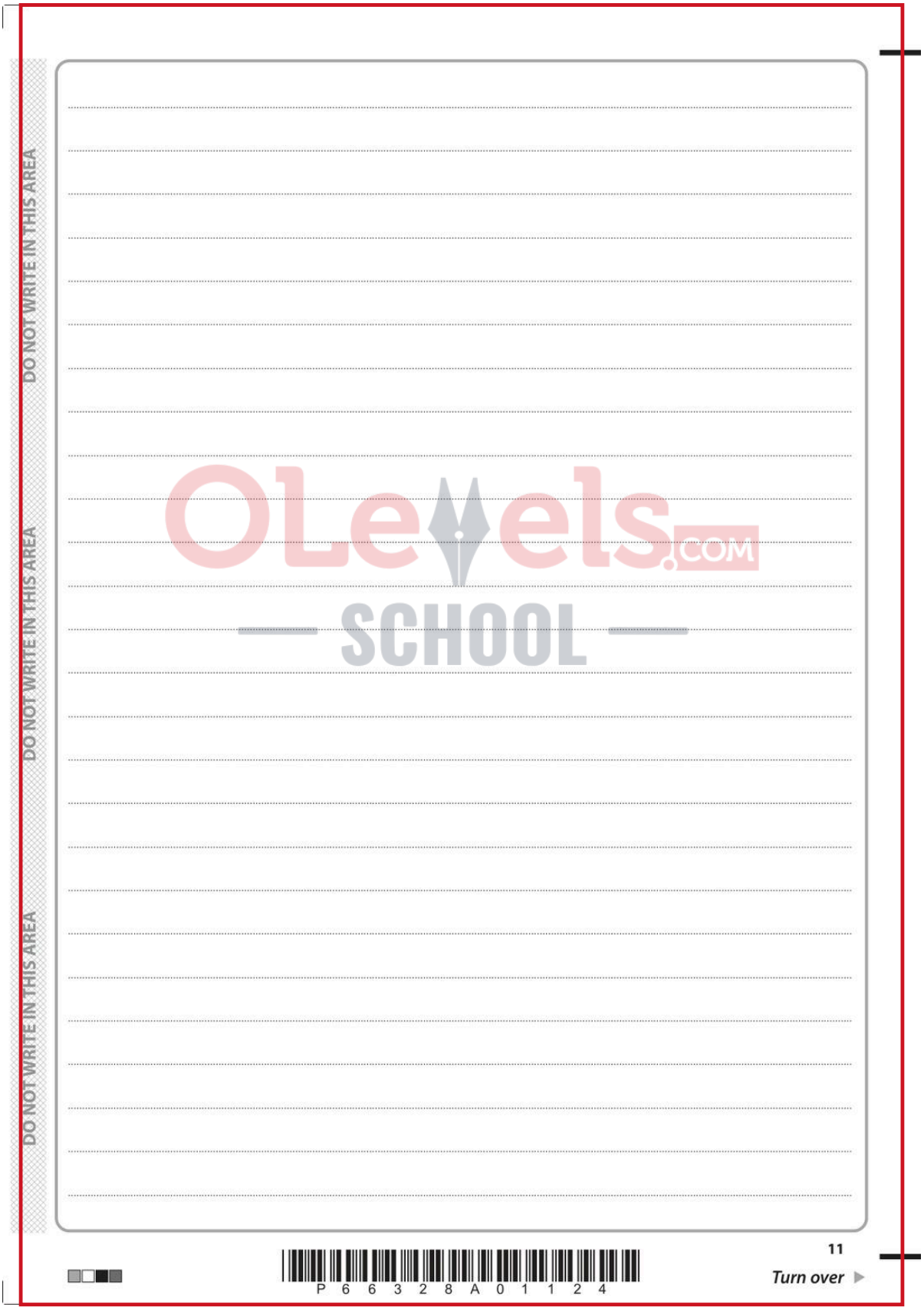
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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

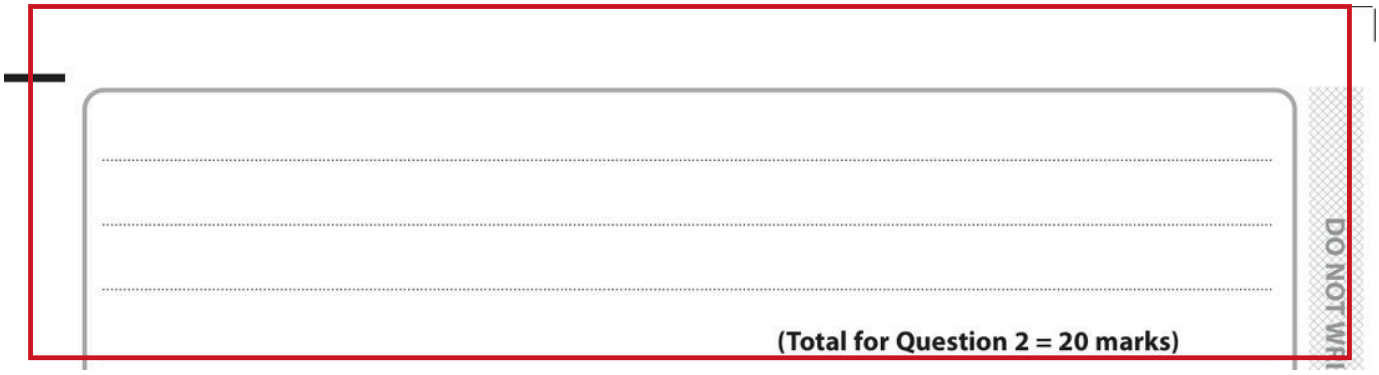
Further practice · Attempt part h only.



9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.



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9. Question 2 · part h · 9 marks · Working and answer

Working and answer

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10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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10. Question 2 · part f · 3 marks

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Further practice · Attempt part f only.

(e) Describe **one** way that high start-up costs can be a barrier to entry.

(2)

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UK supermarkets operate in an oligopoly where the market is dominated by several large firms.

(f) Explain **one** disadvantage of this type of market structure for UK consumers.

(3)

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10. Question 2 · part f · 3 marks

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Further practice · Attempt part f only.

Foxconn Technology produces the new Apple iPhone at its factory in Shenzhen, China. It employs 270,000 workers in its factory. Each worker carries out a specific task which ranges from handling the phone screen, assembling components, checking the phone works, to packaging the phone ready to ship to the customer.

(Source adapted from: https://www.patentlyapple.com/2021/10/foxconns-shenzhen-factory-to-hire-an-additional-100000-plant-workers-to-keep-iphone-13-production-on.html)

(g) With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour.

(9)

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10. Question 2 · part f · 3 marks · Working and answer

Working and answer

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11. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

2

Chart to show market share held by firms within a market

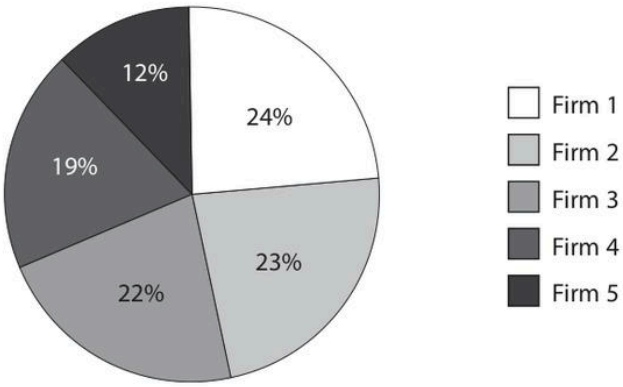


Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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11. Question 2 · part a · 1 mark · Working and answer

Working and answer

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12. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

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4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

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12. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

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12. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

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12. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

During music festivals and sporting events, such as football matches, higher numbers of security staff are employed at stadiums than at other times. At supermarkets, more employees are needed to sell an increased amount of groceries ahead of special holidays and national celebrations.

Technological advances mean that machines are increasingly used in many industries, especially where it leads to greater productivity. These can range from waiters being replaced by robots in restaurants, to automated services dealing with online customer issues, to the more traditional machinery used in manufacturing.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour.

(12)

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12. Question 4 · part b · 6 marks · Working and answer

Working and answer

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13. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

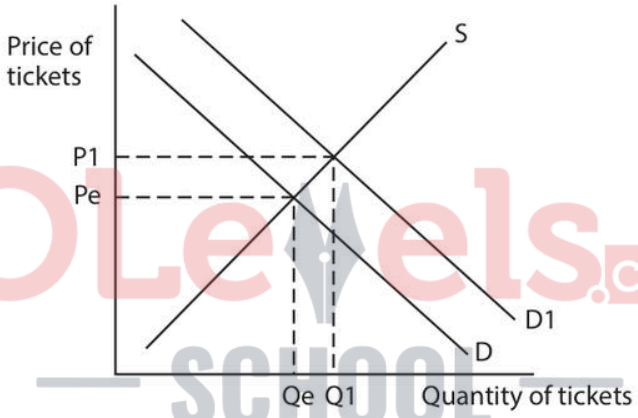


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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13. Question 1 · part d · 1 mark

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Further practice · Attempt part d only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

(e) Define the term excess supply.

(1)

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13. Question 1 · part d · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b · 1 mark

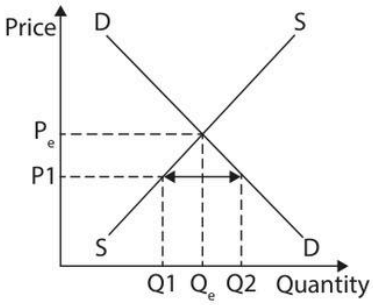
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Further practice · Attempt part b only.

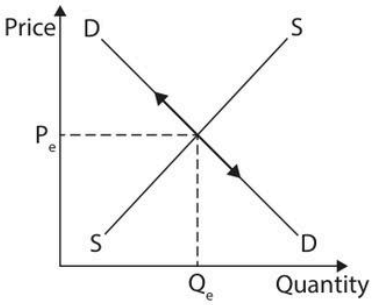
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

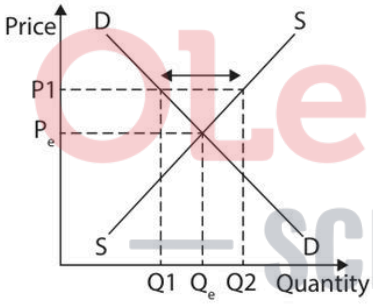
☒ **A**



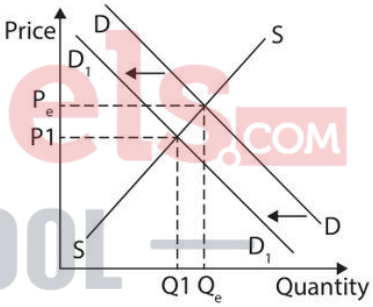
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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7

Turn over ▶

14. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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14. Question 2 · part b · 1 mark · Working and answer

Working and answer

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15. Question 2 · part e · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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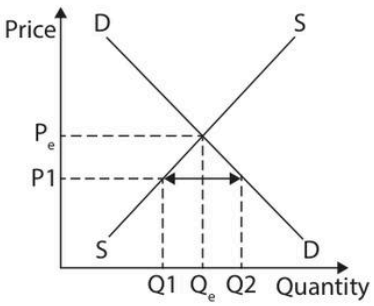
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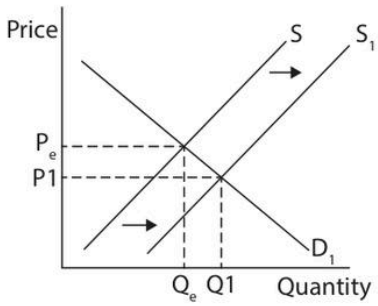
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

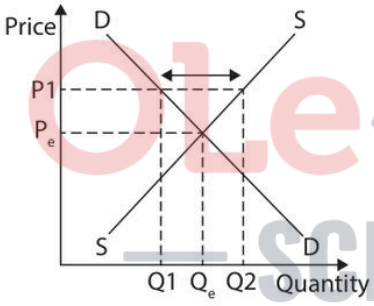
☒ **A**



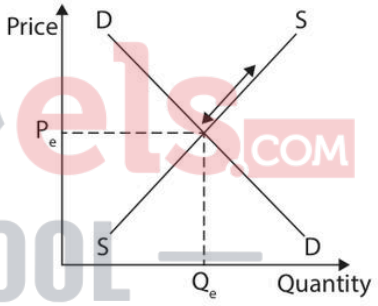
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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15. Question 2 · part e · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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15. Question 2 · part e · 2 marks

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Further practice · Attempt part e only.

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Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

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15. Question 2 · part e · 2 marks · Working and answer

Working and answer

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16. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

2

Market share by sales of firms in a market in Kuwait

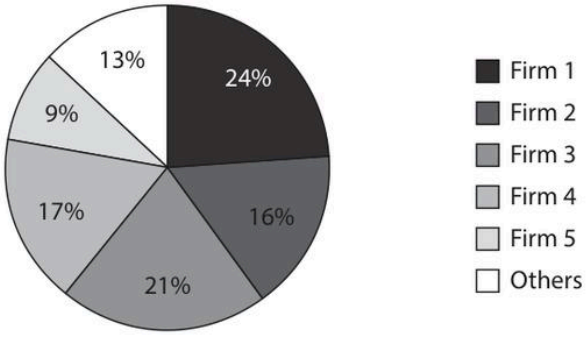


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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16. Question 2 · part a · 1 mark · Working and answer

Working and answer

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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17. Question 1 · part i · 6 marks

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Further practice · Attempt part i only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

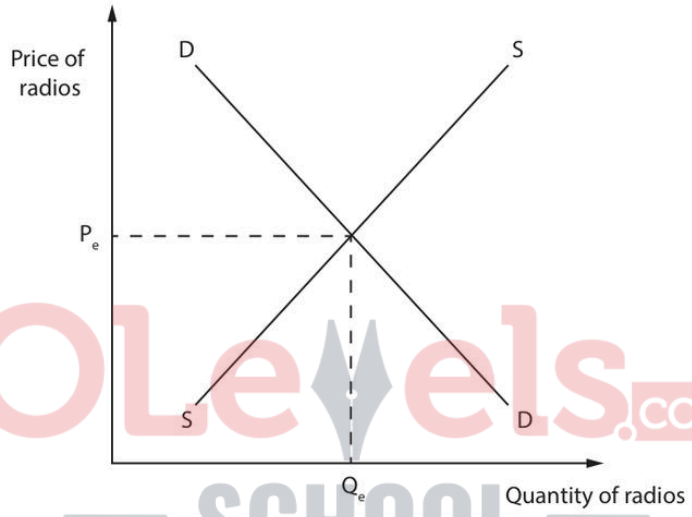


Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

The US Government is taking legal action against six major firms that provide accommodation for rent. The firms are accused of collusion. Over 1 million properties are affected, at a time when tenants are struggling to afford rent.

(i) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent.

(6)

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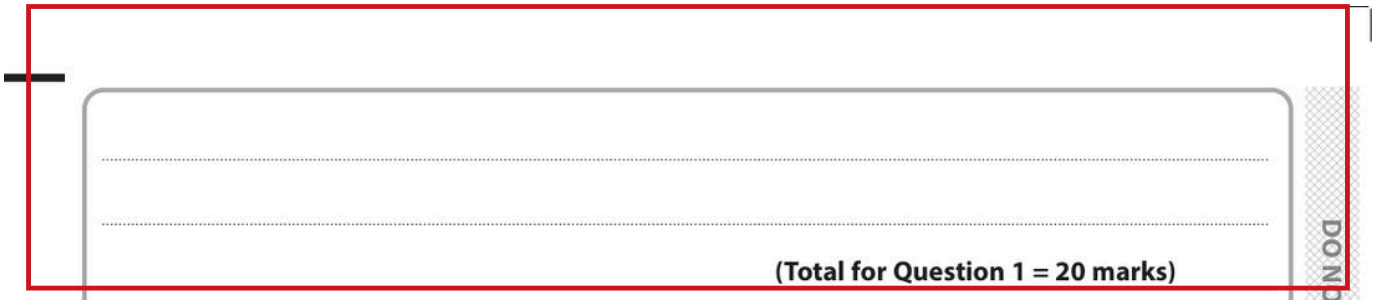
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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.



Working and answer

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